

DELTA



Delta talks about how much the price of the options changes with a change in the price of the underlying asset.

For example, if the price of the underlying changes by 1%, and the option price changes by 20% then we can say that the delta for this option contract is 20.

$$\text{DELTA} = \frac{\% \text{ CHANGE IN OPTION}}{\% \text{ CHANGE IN PRICE OF UNDERLYING ASSET}}$$

Gamma is simply the change in Delta with respect to the change in underlying asset price. Here we intend to understand, how quickly option's sensitivity to underlying price changes.

$$\text{GAMMA} = \frac{\% \text{ CHANGE IN DELTA}}{\% \text{ CHANGE IN PRICE OF UNDERLYING ASSET}}$$

GAMMA



VEGA



Vega tells us about how much the option price changes with a change in the volatility of the underlying asset.

$$\text{VEGA} = \frac{\% \text{ CHANGE IN OPTION}}{\% \text{ CHANGE IN VOLATILITY}}$$

Rho tells us about how much the option price changes with a change in the risk-free rate of return.

$$\text{RHO} = \frac{\% \text{ CHANGE IN OPTION}}{\% \text{ CHANGE IN RISK FREE RATE OF RETURN}}$$

RHO

